OFFERING MEMORANDUM

Zephyr Office Center | Louisville, KY

Property	Zephyr Office Center
Location	1475 Cherry Drive, Louisville, KY 59274
Property Type	Office
Size	188,992 SF
Year Built	1994
Offering	Unpriced - Offers Due December 12, 2021

Business Plan Progress

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 2.7% with an equity multiple of 1.44x over the hold period. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 7.6% on contributed capital. Projected levered IRR is 2.7% with an equity multiple of 1.46x over the hold period. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Market Overview

The Louisville Office market has experienced absorption of 300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Weighted average lease term remaining is 6 years and in-place rents average $30 per square foot, full service gross. Market vacancy for comparable Office product stands at 10.3%, down from 5.5% two years ago. Investor demand for Office assets in Louisville remains strong with recent trades at capitalization rates between 5.46% and 5.46%.

Median household income within a 8-mile radius of the property is approximately $405,000 and has grown 9.7% annually. Investor demand for Office assets in Louisville remains strong with recent trades at capitalization rates between 6.50% and 6.50%. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Market vacancy for comparable Office product stands at 6.4%, down from 7.7% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Risk Considerations

Weighted average lease term remaining is 3 years and in-place rents average $30 per square foot, full service gross. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Floor plates are efficient and column-spacing supports open and private-office layouts. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. The building features a renovated lobby, structured parking at a ratio of 20 per 1,000 square feet, and a tenant lounge with fitness center.

Distributions to investors for the quarter were paid at an annualized rate of 5.2% on contributed capital. Projected levered IRR is 10.8% with an equity multiple of 1.39x over the hold period. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Weighted average lease term remaining is 11 years and in-place rents average $30 per square foot, full service gross. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Demographics and Employment

Weighted average lease term remaining is 6 years and in-place rents average $30 per square foot, full service gross. Market vacancy for comparable Office product stands at 6.2%, down from 7.0% two years ago. The Louisville Office market has experienced absorption of 500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Zephyr Office Center is located in Louisville, KY, a market that has recorded 11.3% population growth over the last five years. Floor plates are efficient and column-spacing supports open and private-office layouts.

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Business Plan Progress

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Floor plates are efficient and column-spacing supports open and private-office layouts. Projected levered IRR is 4.2% with an equity multiple of 1.23x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 4.9% on contributed capital.

Floor plates are efficient and column-spacing supports open and private-office layouts. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Supply and Demand

Zephyr Office Center is located in Louisville, KY, a market that has recorded 4.4% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. The building features a renovated lobby, structured parking at a ratio of 7 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts.

Zephyr Office Center is located in Louisville, KY, a market that has recorded 3.7% population growth over the last five years. Rent growth in the submarket has averaged 6.9% annually over the past 12 years. The Louisville Office market has experienced absorption of 1500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Employment growth is led by healthcare, logistics, education and professional services sectors.

Investor Distributions

The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The building features a renovated lobby, structured parking at a ratio of 43 per 1,000 square feet, and a tenant lounge with fitness center. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Floor plates are efficient and column-spacing supports open and private-office layouts. Projected levered IRR is 2.9% with an equity multiple of 1.33x over the hold period.

Weighted average lease term remaining is 11 years and in-place rents average $30 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 46 per 1,000 square feet, and a tenant lounge with fitness center. Distributions to investors for the quarter were paid at an annualized rate of 6.2% on contributed capital. Floor plates are efficient and column-spacing supports open and private-office layouts.

Demographics and Employment

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The Louisville Office market has experienced absorption of 2100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The building features a renovated lobby, structured parking at a ratio of 21 per 1,000 square feet, and a tenant lounge with fitness center.

Investor demand for Office assets in Louisville remains strong with recent trades at capitalization rates between 7.41% and 7.41%. Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The building features a renovated lobby, structured parking at a ratio of 28 per 1,000 square feet, and a tenant lounge with fitness center. Market vacancy for comparable Office product stands at 6.8%, down from 3.1% two years ago.

Business Plan Progress

The building features a renovated lobby, structured parking at a ratio of 7 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. Projected levered IRR is 11.4% with an equity multiple of 1.15x over the hold period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Distributions to investors for the quarter were paid at an annualized rate of 4.3% on contributed capital.

Distributions to investors for the quarter were paid at an annualized rate of 7.3% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The building features a renovated lobby, structured parking at a ratio of 18 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Cedar Tower	Richmond, VA	01/09/2025	19	$21,738,823	$115	6.06%	1981
Palisade Tower	Pittsburgh, PA	01/16/2024	28	$39,985,925	$212	7.54%	2011
Harbor Corporate Center	Tempe, AZ	06/09/2026	26	$33,443,627	$177	6.82%	1995
Magnolia Corporate Center	Charlotte, NC	11/29/2024	28	$23,605,942	$125	7.81%	1970
Garnet Office Park	Portland, OR	05/20/2024	18	$51,815,173	$274	7.02%	2006
Verde Corporate Center	Denver, CO	05/26/2023	24	$36,456,454	$193	6.32%	1970
Foxglove Office Center	San Diego, CA	04/11/2022	39	$48,551,521	$257	7.88%	1983
Stonebridge Plaza	Sacramento, CA	09/07/2024	41	$39,923,814	$211	5.39%	1997
Sable Office Center	Savannah, GA	07/29/2022	20	$49,356,241	$261	5.76%	1974
Elmhurst Office Park	Madison, WI	05/09/2026	40	$46,892,482	$248	6.01%	2020
Canyon Tower	Charlotte, NC	12/20/2024	21	$37,194,950	$197	6.55%	1991
Dunmore Tower	Boise, ID	03/12/2024	33	$27,507,454	$146	7.88%	1985
Ivy Office Park	Albany, NY	09/08/2023	31	$46,619,789	$247	5.71%	1976
Nautilus Office Park	Louisville, KY	08/06/2022	17	$48,745,318	$258	5.06%	2023
Cypress Tower	Chicago, IL	02/24/2022	26	$15,364,866	$81	8.04%	2000
Verde Office Center	Pittsburgh, PA	05/14/2024	41	$47,507,442	$251	6.90%	2007
Ashford Plaza	Raleigh, NC	05/05/2025	27	$40,980,576	$217	6.44%	1979
Quarry Corporate Center	Denver, CO	08/02/2022	42	$50,317,103	$266	7.21%	2020
Onyx Office Center	Baltimore, MD	11/07/2025	22	$24,340,075	$129	5.16%	2003
Windmill Plaza	Dallas, TX	06/04/2026	27	$32,749,333	$173	5.85%	2012
Newport Office Park	Seattle, WA	02/29/2024	46	$52,287,560	$277	6.74%	1982
Magnolia Corporate Center	Madison, WI	10/04/2022	44	$25,008,276	$132	6.13%	1992
Palisade Corporate Center	Phoenix, AZ	12/08/2024	29	$31,254,930	$165	5.36%	2000
Fairmont Tower	Boston, MA	03/18/2023	37	$36,426,009	$193	8.02%	1989
Cypress Tower	Cleveland, OH	02/24/2026	43	$18,949,033	$100	6.92%	1969
Windmill Corporate Center	Louisville, KY	01/13/2026	23	$42,858,299	$227	6.84%	2001
Laurel Office Park	Hartford, CT	04/17/2024	39	$24,862,539	$132	7.97%	1979
Canyon Corporate Center	Raleigh, NC	05/13/2025	48	$48,090,581	$254	6.53%	1978
Copper Office Park	New Orleans, LA	05/17/2026	39	$43,161,719	$228	5.33%	1980
Raven Office Center	Sacramento, CA	03/26/2024	44	$16,815,482	$89	5.17%	1981
Whitaker Plaza	Grand Rapids, MI	04/28/2026	37	$39,189,948	$207	7.19%	2011
Thornton Office Park	Albany, NY	08/11/2023	33	$23,880,028	$126	7.42%	2002
Bayview Corporate Center	Houston, TX	04/18/2025	16	$34,802,645	$184	7.27%	1977
Aspen Office Center	Chicago, IL	04/06/2023	37	$24,360,773	$129	5.22%	2008
Onyx Plaza	Des Moines, IA	04/19/2026	27	$24,336,419	$129	7.40%	1988
Riverbend Tower	Naperville, IL	02/03/2026	36	$17,484,138	$93	7.42%	2013
Kingsley Office Park	Salt Lake City, UT	06/29/2023	30	$41,665,125	$220	8.14%	2018
Bayview Tower	Jacksonville, FL	09/29/2025	31	$41,734,876	$221	7.72%	1991
Onyx Corporate Center	Nashville, TN	08/22/2026	29	$25,385,295	$134	6.40%	1981
Ridgeline Office Park	Birmingham, AL	08/02/2022	21	$21,411,684	$113	6.68%	2004

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Improvements Description

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Weighted average lease term remaining is 12 years and in-place rents average $30 per square foot, full service gross. The roof is a 39-year membrane system with an estimated remaining useful life of 5 years. The building features a renovated lobby, structured parking at a ratio of 2 per 1,000 square feet, and a tenant lounge with fitness center.

The roof is a 13-year membrane system with an estimated remaining useful life of 12 years. Mechanical systems include rooftop package units and central plant equipment of varying age. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 4 years and in-place rents average $30 per square foot, full service gross.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $166,000 or approximately 22.15 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.58% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $302,000, representing a 4.0% increase over the prior year. Management fees are calculated at 6.8% of collected revenue and are included in operating expenses.

Management fees are calculated at 3.1% of collected revenue and are included in operating expenses. The building features a renovated lobby, structured parking at a ratio of 21 per 1,000 square feet, and a tenant lounge with fitness center. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.58x on a trailing basis against a covenant minimum of 1.20x.

Building Systems

Weighted average lease term remaining is 6 years and in-place rents average $30 per square foot, full service gross. Common area interiors have been refreshed within the last 7 years and are in average to good condition. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The roof is a 45-year membrane system with an estimated remaining useful life of 12 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Common area interiors have been refreshed within the last 4 years and are in average to good condition. The roof is a 27-year membrane system with an estimated remaining useful life of 9 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Income and Expense Review

Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The going-in capitalization rate of 7.64% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Weighted average lease term remaining is 7 years and in-place rents average $30 per square foot, full service gross.

Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Effective gross income for the trailing period was $59,000, representing a 2.9% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $279,000 or approximately 44.99 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.21% reflects the in-place income and the stabilized occupancy assumption.

Building Systems

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Zephyr Office Center was originally constructed in 1994 and consists of 188,992 SF in a building of 14 stories. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The roof is a 10-year membrane system with an estimated remaining useful life of 10 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Floor plates are efficient and column-spacing supports open and private-office layouts.

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The building features a renovated lobby, structured parking at a ratio of 44 per 1,000 square feet, and a tenant lounge with fitness center. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Zephyr Office Center was originally constructed in 1994 and consists of 188,992 SF in a building of 14 stories.

Valuation Discussion

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Lockwood Office Center	2.7 mi	1981	Suite	$31.61	95.1%	None
Onyx Corporate Center	2.4 mi	2017	Inline	$30.40	97.5%	None
Pinecrest Office Park	1.3 mi	2005	2BR	$29.59	96.0%	None
Westgate Tower	0.4 mi	1987	Unit	$33.95	96.7%	$500
Parkview Office Center	4.8 mi	1988	Inline	$34.03	94.8%	1 mo. free
Granite Office Center	4.9 mi	1990	Studio	$34.42	95.2%	1 mo. free
Union Office Park	4.0 mi	1994	Studio	$31.89	92.9%	1 mo. free
Oakmont Office Center	4.9 mi	2004	2BR	$33.32	91.7%	$500
Aspen Tower	2.2 mi	2008	2BR	$26.16	92.3%	1 mo. free
Indigo Plaza	3.0 mi	1989	Studio	$31.24	88.4%	$500
Brookside Tower	0.5 mi	2020	Inline	$35.19	87.1%	$500
Onyx Corporate Center	2.4 mi	2008	Bay	$29.24	89.8%	None
Union Plaza	0.9 mi	1979	1BR	$33.78	89.4%	1 mo. free
Hollis Office Park	1.4 mi	1996	Suite	$27.02	88.5%	None
Indigo Plaza	4.4 mi	2018	Unit	$34.76	87.9%	None
Meridian Tower	1.5 mi	2002	Inline	$28.18	91.7%	None
Magnolia Office Park	2.0 mi	1979	Suite	$27.23	94.8%	None
Jasper Tower	2.0 mi	1977	Suite	$33.60	95.2%	1 mo. free
Summit Office Center	1.2 mi	2006	2BR	$28.17	90.1%	None
Gatewood Plaza	0.8 mi	2018	Suite	$29.30	91.1%	$500
Summit Tower	4.1 mi	2014	Suite	$27.42	96.4%	1 mo. free
Palisade Tower	1.6 mi	1985	Studio	$28.61	88.0%	1 mo. free
Sable Tower	0.5 mi	1994	Bay	$30.33	96.4%	None
Vista Office Center	4.6 mi	2003	Inline	$32.36	90.2%	1 mo. free
Lockwood Corporate Center	1.9 mi	1978	1BR	$33.93	97.3%	None
Highland Office Park	1.0 mi	2021	Suite	$29.84	97.8%	$500
Eastlake Tower	2.5 mi	1997	2BR	$33.93	97.1%	$500
Dunmore Corporate Center	2.5 mi	1993	Studio	$29.67	94.8%	$500
Palisade Tower	3.9 mi	1985	1BR	$35.34	95.8%	$500
Ridgeline Corporate Center	3.0 mi	1976	Unit	$32.91	87.7%	$500
Dunmore Office Park	3.9 mi	1981	Unit	$32.72	90.1%	$500
Cedar Office Park	0.8 mi	1972	Suite	$32.35	94.1%	$500
Maple Corporate Center	4.3 mi	1995	1BR	$35.04	92.4%	None
Tidewater Office Center	1.5 mi	1979	Studio	$27.39	93.8%	None
Raven Plaza	3.1 mi	2005	2BR	$26.98	92.3%	None
Onyx Plaza	1.0 mi	2012	2BR	$26.23	89.1%	$500
Kingsley Plaza	0.6 mi	1978	1BR	$32.26	89.2%	None
Heritage Office Center	1.4 mi	2003	Unit	$31.46	87.9%	$500
Crestline Plaza	3.9 mi	1991	Suite	$35.99	96.1%	None
Yarrow Office Center	4.9 mi	1998	Inline	$30.33	89.3%	None

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Property Operations

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 12 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day.

Demographics and Employment

Investor demand for Office assets in Louisville remains strong with recent trades at capitalization rates between 7.37% and 7.37%. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 6 years and in-place rents average $30 per square foot, full service gross. Employment growth is led by healthcare, logistics, education and professional services sectors.

The building features a renovated lobby, structured parking at a ratio of 9 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 8 years and in-place rents average $30 per square foot, full service gross. Rent growth in the submarket has averaged 6.2% annually over the past 3 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Office product stands at 4.9%, down from 7.6% two years ago.

Property Operations

The building features a renovated lobby, structured parking at a ratio of 19 per 1,000 square feet, and a tenant lounge with fitness center. Service requests are tracked through a work-order system with an average completion time of 37 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Floor plates are efficient and column-spacing supports open and private-office layouts. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 36 additional team members. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Submarket Analysis

Market vacancy for comparable Office product stands at 4.0%, down from 5.7% two years ago. Zephyr Office Center is located in Louisville, KY, a market that has recorded 2.7% population growth over the last five years. Rent growth in the submarket has averaged 4.7% annually over the past 12 years. Employment growth is led by healthcare, logistics, education and professional services sectors. The building features a renovated lobby, structured parking at a ratio of 2 per 1,000 square feet, and a tenant lounge with fitness center. Investor demand for Office assets in Louisville remains strong with recent trades at capitalization rates between 6.68% and 6.68%.

The building features a renovated lobby, structured parking at a ratio of 10 per 1,000 square feet, and a tenant lounge with fitness center. Market vacancy for comparable Office product stands at 10.5%, down from 4.0% two years ago. Floor plates are efficient and column-spacing supports open and private-office layouts. Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 6-mile radius of the property is approximately $456,000 and has grown 7.4% annually. The Louisville Office market has experienced absorption of 2100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 26 hours. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The manager completes a monthly walk of the property and submits a variance report to the owner by the 31th business day. Collections for the period were 94.1% of billed charges, with bad debt of 6.1% of gross potential income. The building features a renovated lobby, structured parking at a ratio of 21 per 1,000 square feet, and a tenant lounge with fitness center.

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Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 8.5% with an equity multiple of 1.48x over the hold period. Floor plates are efficient and column-spacing supports open and private-office layouts. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

The building features a renovated lobby, structured parking at a ratio of 45 per 1,000 square feet, and a tenant lounge with fitness center. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Floor plates are efficient and column-spacing supports open and private-office layouts.

Supply and Demand

Weighted average lease term remaining is 8 years and in-place rents average $30 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. Investor demand for Office assets in Louisville remains strong with recent trades at capitalization rates between 8.01% and 8.01%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Rent growth in the submarket has averaged 3.7% annually over the past 6 years. Weighted average lease term remaining is 6 years and in-place rents average $30 per square foot, full service gross. Median household income within a 8-mile radius of the property is approximately $450,000 and has grown 13.7% annually. The Louisville Office market has experienced absorption of 3600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Risk Considerations

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 11 years and in-place rents average $30 per square foot, full service gross. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns.

The building features a renovated lobby, structured parking at a ratio of 5 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 12 years and in-place rents average $30 per square foot, full service gross. Distributions to investors for the quarter were paid at an annualized rate of 5.3% on contributed capital. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Supply and Demand

Median household income within a 7-mile radius of the property is approximately $338,000 and has grown 3.4% annually. Floor plates are efficient and column-spacing supports open and private-office layouts. Investor demand for Office assets in Louisville remains strong with recent trades at capitalization rates between 5.01% and 5.01%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Office product stands at 8.2%, down from 4.3% two years ago.

Floor plates are efficient and column-spacing supports open and private-office layouts. Investor demand for Office assets in Louisville remains strong with recent trades at capitalization rates between 7.26% and 7.26%. Weighted average lease term remaining is 8 years and in-place rents average $30 per square foot, full service gross. Rent growth in the submarket has averaged 4.3% annually over the past 12 years. The building features a renovated lobby, structured parking at a ratio of 16 per 1,000 square feet, and a tenant lounge with fitness center.

Risk Considerations

Weighted average lease term remaining is 6 years and in-place rents average $30 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 12 per 1,000 square feet, and a tenant lounge with fitness center. Distributions to investors for the quarter were paid at an annualized rate of 6.0% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 2.5% with an equity multiple of 1.28x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

The building features a renovated lobby, structured parking at a ratio of 21 per 1,000 square feet, and a tenant lounge with fitness center. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 6 years and in-place rents average $30 per square foot, full service gross.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Zephyr Office Center	Pittsburgh, PA	02/26/2022	28	$20,103,045	$106	6.07%	1986
Cedar Office Center	Norfolk, VA	11/14/2023	35	$43,671,609	$231	6.80%	2018
Eastlake Office Center	Newark, NJ	09/13/2024	45	$38,974,625	$206	7.36%	1997
Cypress Office Park	Portland, OR	06/15/2024	38	$38,755,102	$205	5.95%	2011
Onyx Tower	Kansas City, MO	12/13/2023	19	$49,898,991	$264	6.99%	2021
Zephyr Corporate Center	Sacramento, CA	01/04/2024	47	$32,477,126	$172	7.01%	2010
Beacon Office Park	Tempe, AZ	03/08/2024	38	$52,139,679	$276	7.45%	1977
Fairmont Corporate Center	Newark, NJ	09/18/2024	45	$35,156,381	$186	6.44%	1995
Prairie Tower	Tempe, AZ	11/17/2022	36	$25,358,945	$134	7.42%	2008
Ashford Plaza	Boise, ID	09/28/2022	35	$21,700,785	$115	6.96%	2014
Jasper Plaza	Richmond, VA	03/25/2024	26	$44,938,628	$238	7.67%	2019
Indigo Plaza	St. Louis, MO	05/09/2022	19	$27,794,085	$147	7.76%	2008
Indigo Corporate Center	Albany, NY	03/18/2022	23	$46,365,423	$245	6.10%	2020
Cypress Plaza	Memphis, TN	03/26/2026	42	$30,010,687	$159	7.17%	1993
Calloway Office Park	Memphis, TN	02/24/2023	25	$46,892,478	$248	7.51%	2001
Hollis Corporate Center	Las Vegas, NV	08/25/2024	18	$36,515,900	$193	6.73%	2004
Banyan Tower	Denver, CO	02/28/2024	46	$47,763,502	$253	7.69%	2021
Redwood Office Park	Richmond, VA	06/14/2026	41	$49,800,114	$264	5.38%	1979
Gatewood Office Center	Austin, TX	06/02/2026	17	$28,091,733	$149	6.55%	1973
Ivy Plaza	Las Vegas, NV	04/13/2025	17	$32,963,934	$174	7.77%	2001
Alder Office Center	Tempe, AZ	10/14/2025	47	$47,863,531	$253	6.14%	1989
Heritage Office Center	Baltimore, MD	03/30/2025	28	$17,838,221	$94	8.01%	1997
Ashford Office Center	Las Vegas, NV	04/16/2026	23	$43,619,440	$231	5.53%	2008
Banyan Office Park	Seattle, WA	02/08/2023	39	$39,491,347	$209	5.87%	2018
Valley Tower	Birmingham, AL	01/13/2026	43	$21,531,853	$114	6.50%	2008
Brookside Office Park	San Antonio, TX	07/23/2024	44	$45,411,998	$240	7.74%	1996
Hawthorne Plaza	Norfolk, VA	10/04/2023	45	$15,607,079	$83	6.22%	1978
Pinecrest Office Park	Des Moines, IA	12/17/2022	44	$20,035,969	$106	6.54%	2018
Driftwood Plaza	St. Louis, MO	02/20/2025	44	$35,982,642	$190	5.46%	1968
Birchwood Plaza	Albany, NY	02/24/2022	27	$35,823,092	$190	5.87%	1968
Willow Corporate Center	Atlanta, GA	09/13/2024	24	$34,803,629	$184	6.39%	2012
Eastlake Plaza	Louisville, KY	02/10/2023	34	$17,085,457	$90	6.39%	1989
Nautilus Tower	Cincinnati, OH	07/06/2024	17	$33,865,315	$179	7.88%	2006
Mesa Plaza	Birmingham, AL	11/06/2024	42	$28,347,752	$150	7.81%	2010
Fairmont Office Center	Raleigh, NC	07/21/2023	29	$20,200,356	$107	5.29%	2013
Copper Office Park	Cleveland, OH	07/27/2023	22	$37,851,113	$200	7.63%	1965
Cobalt Corporate Center	Phoenix, AZ	11/20/2023	33	$22,949,414	$121	6.40%	2019
Lantern Office Center	Nashville, TN	10/02/2023	22	$33,906,226	$179	5.69%	2007
Ashford Plaza	Boise, ID	03/29/2026	30	$39,487,785	$209	5.83%	1994
Mesa Office Park	Dallas, TX	08/22/2023	25	$36,218,081	$192	6.45%	2017
Fairmont Corporate Center	Charlotte, NC	06/26/2024	39	$27,474,159	$145	6.74%	2008
Bluestone Tower	Milwaukee, WI	10/03/2025	34	$15,847,094	$84	6.58%	2005
Beacon Office Center	Naperville, IL	08/15/2026	30	$22,505,045	$119	6.05%	2016

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Improvements Description

The building features a renovated lobby, structured parking at a ratio of 6 per 1,000 square feet, and a tenant lounge with fitness center. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Floor plates are efficient and column-spacing supports open and private-office layouts. Common area interiors have been refreshed within the last 11 years and are in average to good condition.

Mechanical systems include rooftop package units and central plant equipment of varying age. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Weighted average lease term remaining is 12 years and in-place rents average $30 per square foot, full service gross. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The building features a renovated lobby, structured parking at a ratio of 20 per 1,000 square feet, and a tenant lounge with fitness center. Common area interiors have been refreshed within the last 9 years and are in average to good condition.

Valuation Discussion

Operating expenses totaled $225,000 or approximately 15.23 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.9% of collected revenue and are included in operating expenses. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building features a renovated lobby, structured parking at a ratio of 3 per 1,000 square feet, and a tenant lounge with fitness center. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period.

Effective gross income for the trailing period was $171,000, representing a 7.6% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.21% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period. Debt service coverage ratio was 5.88x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 7.4% of collected revenue and are included in operating expenses.

Improvements Description

Common area interiors have been refreshed within the last 10 years and are in average to good condition. Floor plates are efficient and column-spacing supports open and private-office layouts. Zephyr Office Center was originally constructed in 1994 and consists of 188,992 SF in a building of 38 stories. Weighted average lease term remaining is 6 years and in-place rents average $30 per square foot, full service gross. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Zephyr Office Center was originally constructed in 1994 and consists of 188,992 SF in a building of 7 stories. Weighted average lease term remaining is 3 years and in-place rents average $30 per square foot, full service gross. The roof is a 20-year membrane system with an estimated remaining useful life of 4 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Mechanical systems include rooftop package units and central plant equipment of varying age.

Financial Analysis

Debt service coverage ratio was 8.17x on a trailing basis against a covenant minimum of 1.20x. Weighted average lease term remaining is 6 years and in-place rents average $30 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Effective gross income for the trailing period was $204,000, representing a 7.2% increase over the prior year.

Weighted average lease term remaining is 5 years and in-place rents average $30 per square foot, full service gross. Debt service coverage ratio was 7.62x on a trailing basis against a covenant minimum of 1.20x. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Operating expenses totaled $297,000 or approximately 17.82 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $459,000, representing a 8.4% increase over the prior year.

Building Systems

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The building features a renovated lobby, structured parking at a ratio of 8 per 1,000 square feet, and a tenant lounge with fitness center. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 41-year membrane system with an estimated remaining useful life of 7 years.

Floor plates are efficient and column-spacing supports open and private-office layouts. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Hollis Office Center	3.6 mi	1979	Suite	$26.79	95.9%	$500
Nautilus Tower	2.6 mi	2016	Studio	$29.26	97.9%	1 mo. free
Nautilus Office Center	4.3 mi	2018	Studio	$30.69	95.8%	None
Thornton Office Park	1.0 mi	1971	Bay	$31.46	88.7%	$500
Wexford Office Center	2.5 mi	1978	Suite	$26.61	86.6%	None
Calloway Plaza	1.0 mi	1986	2BR	$31.91	95.4%	$500
Bayview Tower	0.5 mi	2009	Suite	$30.52	94.0%	1 mo. free
Osprey Office Center	2.6 mi	2017	Unit	$31.68	87.2%	1 mo. free
Mesa Plaza	3.1 mi	2006	Inline	$29.27	93.4%	None
Newport Corporate Center	3.0 mi	1997	Inline	$33.31	97.0%	1 mo. free
Pelican Plaza	2.7 mi	1990	1BR	$26.97	94.6%	1 mo. free
Kestrel Office Park	2.1 mi	1987	Unit	$35.97	92.6%	$500
Jasper Plaza	1.0 mi	2021	Bay	$33.92	94.0%	None
Mesa Corporate Center	2.4 mi	1983	Unit	$35.12	93.6%	None
Amberly Plaza	1.9 mi	1972	Unit	$31.40	89.2%	None
Driftwood Corporate Center	2.1 mi	2020	Inline	$28.30	96.0%	$500
Wexford Office Center	1.1 mi	1979	Suite	$27.63	91.3%	None
Thornton Office Park	0.7 mi	2020	1BR	$27.53	93.0%	None
Maple Corporate Center	1.7 mi	1984	Suite	$31.45	91.7%	1 mo. free
Vista Office Park	2.2 mi	2005	Suite	$27.02	95.7%	1 mo. free
Lakeshore Office Center	0.7 mi	1978	2BR	$32.45	97.2%	$500
Westgate Office Park	2.6 mi	1991	Inline	$31.44	91.6%	$500
Northgate Plaza	2.2 mi	1973	Unit	$29.09	88.3%	1 mo. free
Crestline Tower	1.4 mi	2011	Unit	$28.50	88.0%	None
Nautilus Tower	2.7 mi	1980	Inline	$32.18	93.6%	None
Willow Tower	4.3 mi	1975	Studio	$33.32	89.5%	None
Copper Corporate Center	1.9 mi	1993	Studio	$34.68	87.0%	None
Aspen Plaza	1.9 mi	1975	Suite	$34.62	97.6%	None
Northgate Corporate Center	4.6 mi	1970	Suite	$30.28	90.5%	None
Northgate Plaza	0.6 mi	1985	1BR	$25.74	96.7%	$500
Amberly Office Park	3.1 mi	1983	Inline	$31.14	86.3%	None
Cobalt Plaza	2.6 mi	1991	Suite	$29.15	97.7%	$500
Zephyr Office Center	0.2 mi	1990	Inline	$32.78	90.8%	None
Kingsley Corporate Center	2.3 mi	2000	2BR	$34.25	89.9%	$500
Meridian Office Park	1.3 mi	1998	Suite	$34.61	93.4%	None
Quarry Office Center	2.6 mi	2000	Unit	$28.74	92.9%	None
Maple Tower	4.4 mi	1998	Unit	$28.49	93.3%	1 mo. free
Lakeshore Plaza	3.4 mi	2014	Suite	$31.16	95.6%	$500
Bayview Office Center	4.4 mi	1996	2BR	$27.38	95.6%	1 mo. free
Prairie Office Park	4.0 mi	2001	Bay	$32.19	91.8%	$500

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Disclaimer and Confidentiality

Time is of the essence with respect to each and every provision of this instrument. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of KY. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Zephyr Office Center and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Each party represents that it has full power and authority to enter into and perform its obligations hereunder. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Time is of the essence with respect to each and every provision of this instrument. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This document relates solely to Zephyr Office Center and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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